PROJECT INFORMATION DOCUMENT (PID)
CONCEPT STAGE

Report No.: AB2133

Project Name	ARGENTINA BASIC MUNICIPAL SERVICES PROJECT
Region	LATIN AMERICA AND CARIBBEAN
Sector	Water supply (40%); Sanitation (40%); Roads and highways (20%)
Project ID	P060484
Borrower(s)	ARGENTINE REPUBLIC
Implementing Agency	MINISTERIO DE PLANIFICACIÓN FEDERAL
Environment Category	[ ] A [X] B [] C [ ] FI [ ] TBD (to be determined)
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1. Key development issues and rationale for Bank involvement

Argentina is one of the most administratively decentralized economies in the world, although both provincial and municipal governments remain highly dependent on transfers from higher levels of government and face significant constraints to raising and managing own-source revenues. Argentina's public sector is structured in three levels of public administration: the Federal Government, 24 provinces, and approximately 2,150 local governments (municipalities, *comunas*, and other non-municipal local entities). Sub-national governments vary widely in size, population and physical endowment.[1] Provincial governments have retained substantial political autonomy; provincial governors and legislators are elected directly to four-year terms, and importantly, municipalities are entirely dependent on the provinces, which dictate their organization, taxing powers, and basic service delivery responsibilities. The level of expenditure decentralization is considerable from an international perspective and has increased during the 1990's: today the country's 24 provincial governments and municipalities execute about 48.7 percent of public expenditures[2]. However, revenue raising capacity at the sub-national level is limited. While in 2004 the central government was able to raise tax revenue in the amount of 23 percent of GDP, tax collection on behalf of provincial

[1] The largest six provinces (i.e., Buenos Aires, the Autonomous City of Buenos Aires, Córdoba, Santa Fe, Mendoza and Tucumán) account for over 70 percent of the population, while the smallest six provinces (Tierra del Fuego, Santa Cruz, La Rioja, La Pampa, Catamarca and San Luis) account for less than 5 percent. There are also large asymmetries between municipalities. With over one million inhabitants, La Matanza, a municipality in the Province of Buenos Aires, has more population than 18 of the 24 provincial jurisdictions.

[2] Data: 2002, Ministry of Economy. Total expenditures: 29.17 percent GDP; provincial governments: 11.86 percent GDP; municipalities: 2.35 percent GDP.

governments was a mere 3.8 percent of GDP[3]. Because of the resulting considerable vertical imbalances, both provinces and municipalities are overly dependent on transfers.[4]

There are persistent inefficiencies in the provision of services at the sub-national level, particularly as regards basic services for the poor. Provincial and municipal governments continue to face countless institutional and financial constraints to improved service delivery despite a recent trend of improved finances.[5] Access to capital financing for sub-national governments is significantly limited and likely to remain highly constrained in the medium-term. With large proportions of the population below the poverty line, the role of provincial and municipal governments in the provision of basic services has become even more important, especially for the poor and the unemployed. Despite progress made over the past decade, the level and quality of services provided by provincial and municipal governments do not match the level of expenditures; the relatively high levels of spending are not matched by social indicators, which continue to lag behind those in countries with similar incomes. Similarly, social indicators show large variations among regions as well as levels of income. Municipalities in many regions are the primary interface between the Government and the citizenry, and face greater demands than ever. For a country of Argentina's level of development and wealth, there are serious gaps in the coverage of basic services at the local level that mostly affect the poorest segment of the population and have resulted in measurable negative impacts.[6]

The Municipal Sector

Within the context of Argentina's decentralized public administration, the municipal "sector" remains highly underdeveloped. Approximately 50 percent of Argentina's public spending is at the sub-national level, though expenditure authority and revenue generation capacity are highly concentrated at the provincial level. Municipalities are creatures of the provinces and their responsibilities, which are defined by provincial constitutions, are highly variable between provinces. Overall, municipalities account for less than 10 percent of total public sector expenditure and, in general, are highly reliant on provincial transfers and face significant constraints to raising and managing own-source revenues. Throughout the 1990s, provinces shared about one-tenth of their resources with municipalities.[7] Many naturally "local" taxes – e.g. the property tax – are provincial taxes in Argentina.

Argentine municipalities remain highly constrained in terms of improving service delivery. Despite the recent improvement in provincial finances, and the fiscal pacts being negotiated between the Federal Government and the 12 most deficit-prone provincial governments (the *Programas de Financiamiento Ordenado de las Finanzas Provinciales*, or PFOs, introduced in

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[3] Municipalities are mostly dependent on fees. Data on municipal tax revenue is only available for the year 2000 were it was 4 percent of total tax revenue raised in Argentina.

[4] Most provinces rely on transfers for 80 to 90 percent of revenues, while this percentage is about 40-50 percent in the larger ones. In turn, provinces share about one-tenth of their resources with municipalities (IMF, 2003).

[5] Revenues at the provincial level increased by 26.5 percent and transfers from the Federal Government increased by 52.1 percent over the last three years.

[6] According to data produced by the Ministry of Health (SINAVE), there has been a 75 percent increase in the morbidity of diarrheic diseases in children of less than 5 years old since 1992. This increase has been tenfold for the population as a whole.

[7] "Reforming Intergovernmental Fiscal Relations in Argentina," Alfredo Cuevas, IMF, 2003

2002), the approximately 2,150 local governments (municipalities, *comunas*, and other non-municipal local entities) continue to face myriad institutional and financial constraints in terms of improving the delivery of municipal services. Though significant differences exist between provinces as regards the division of responsibility for service delivery, municipal governments in Argentina are primarily responsible for the provision of basic water and sanitation services (including solid waste management), local urban transport investment and management, traditional municipal investments such as drainage and street lighting, and a host of smaller local services such as parks, cemeteries, and markets. Notwithstanding the fact that transfers to municipalities have increased as a result of the improved provincial and federal fiscal situation, access to capital financing for municipalities is significantly limited and likely to remain highly constrained in the medium-term. With large proportions of the population under the poverty line the role of local and provincial governments in the provision of basic services has become even more important, especially for the poor and unemployed.

Developing the municipal sector's capacity to better deliver services will require a medium-term effort. For the municipal sector as a whole, moving towards more efficient and sustainable delivery of services will require a medium-term program to enhance the public sector's capacity to finance, manage, regulate, and deliver infrastructure services, while at the same time improving the efficiency and sustainability of investment. The critical path for municipalities to reach this objective should address: (a) gradually reduced dependence on inter-governmental transfers and increased use of own resources, financial autonomy, accountability, and market discipline; (b) use of public funds to leverage access to private capital investment, both to mitigate the poverty impact of the macroeconomic situation and help the country revert to a path of sustainable growth; and (c) scaling up capacity building activities and link them to financing under a broad-based program. Capacity building efforts are needed to: (a) enhance planning and programming capacity within the resource constraints of local governments; (b) develop technical expertise to prepare adequate investment plans; (c) strengthen the monitoring and evaluation ability to enhance the efficiency of investment expenditures; and (d) mobilize community participation through better processes and transparent management of the investment budget.

No major reforms have been embarked upon or are foreseen in the municipal "sector". Regarding the structuring and management of the municipal development, a one-size-fits-all approach does not match the reality of Argentina's federal system, and provinces need to be in the driver's seat as regards this reform agenda. Interventions at the municipal level pose a unique challenge in terms of framing a pro-poor approach to municipal service delivery which deals with some of the key pending reform issues at the sector level. There is a perception of "reform fatigue" and the Government's decision to divide the municipal agenda across three sector institutions poses unique challenges. At the same time, the disproportionate impact that deficient basic service delivery has on the poor makes this issue particularly critical.[8]

[8] See for example, "Argentina-Crisis and Poverty 2003: A Poverty Assessment", The World Bank

2. Key Sector Issues

Infrastructure and service needs are significant. The operation is structured around three key investment sectors which broadly correspond to local needs across provinces and which form the core of emerging civil works / investment demand from municipalities in those provinces which are expected to participate. Key sector issues involve: (a) expanding the coverage of basic services; (b) improving the efficiency by which services are delivered; (c) reducing the cost of services and making them sustainable by increasing the selectivity by which infrastructure is designed and "rightsizing" investment; and (d) putting in place cost recovery mechanisms which, in the context of the limited fiscal capacity of municipalities to finance investment through general revenues, address financing needs for operation, maintenance, and depreciation.

3. Rationale for Bank Involvement

The Government of Argentina has requested the Bank to support the financing of the provision of basic services in a sustainable and efficient manner. The Bank is well positioned to support priority local investment needs and the systemic agenda needed to address basic service deficiencies at the local level. First, the needs are great – sector investment needs in basic water and sanitation alone (not including wastewater treatment) exceed US$3 billion according to Ente Nacional de Obras Hídricas de Saneamiento (ENOHSA) estimates. The proposed operation would be a critical step in meeting these demands and could be followed by additional related basic infrastructure operations at the national and provincial levels beyond the current CAS period. Second, the Bank's experience in supporting the Government through Municipal Development I (MDPI) and Municipal Development II (MDPII) projects give the institution a unique opportunity to support the Government's agenda while introducing incremental changes in our engagement. This is especially true as regards the introduction of greater technical, financial, and service sustainability, as well as the enhancement of rigor, objectivity and transparency in the evaluation of investments. Finally, the proposed operation is a core aspect of the CAS and is fully consistent with the CAS objectives and design.

The proposed operation builds upon the Bank's experience and recognizes the need to focus and deepen the Bank's engagement. The Bank's engagement and the Government's approach was successful in maintaining flows to local governments in the face of the crisis and in providing a source of funds for capital investment. The proposed operation maintains that trajectory and serves fundamentally to support the Government's efforts to provide a source of investment resources for fiscally sustainable municipalities. The operation aims to maintain the Bank's presence in Argentina and to engage in a medium-term policy dialogue that allows for future work to further address the sector's reform and development needs.

The Bank has been involved in financing of municipal development activities in Argentina for the last fifteen years. The proposed operation would strengthen the approach and assist participating municipalities in three fundamental ways: First, it would focus investments on a selected set of high-impact basic services sectors, namely water and sanitation, basic access, and urban drainage investments which, when properly vetted, can have significant economic and social benefits. Second, the proposed operation would enhance the technical and financial screening of subprojects and, importantly, of service providers, to ensure "rightsizing" of investments and to move towards service sustainability. Third, the approach would introduce incremental but important changes in the institutional arrangements, including the establishment of a more transparent Project governance structure, including sector actors, to be involved in Project oversight at the provincial and central levels. Perhaps most importantly, the operation would seek to embed local investments within transparent provincial sector investment plans which would be prepared on a province-by-province basis during preparation and the initial phases of implementation, and which would identify, inter alia, basic sector financing policies and investment needs at the provincial level.

4. Proposed objective(s)

Project Development Objective. The operation would aim to improve the quality and provision of water supply and sanitation, urban drainage, and roads infrastructure services at the municipal level in a transparent, equitable and fiscally sustainable manner. Specifically, the project will aim to:

- (i) improve the coverage, quality and efficiency of water supply and sanitation services in participating municipalities;
- (ii) enhance access to urban drainage infrastructure in participating municipalities;
- (iii) increase access to paved roads and reduce logistics costs through investments in the pavement of urban and productive roads; and
- (iv) improve the operational and commercial performance of municipal basic services through demand-driven technical assistance for medium-term investment planning, subproject preparation, technical supervision, operations and maintenance and improved commercial management.

It is expected that the Project would finance investments in water, sanitation, urban drainage and flood protection, and in basic transportation access initiatives in municipalities in participating provinces. The proposed operation is expected to have an impact in improving service quality and efficiency in the use of investment funds for a number of reasons – despite being a small amount relative to the overall demand for municipal level investments and assistance for institutional reform. First, as the only source of capital investment for local governments in Argentina, the Project will focus on high-impact investments in terms of service improvements for the poor. Second, the operation will introduce some very modest but systemic reforms – in terms of governance, eligibility and prioritization criteria. Third, the proposed Project will target municipal and service-provider institutional strengthening needs which to date have been elusive. While some of the most pressing issues in municipal development fall outside the scope of the operation – rationalizing provincial revenue sharing arrangements or broader changes to fiscal federalism and the division of public service responsibilities, for example – the proposed operation would aim to address the local level reform agenda, focusing on service providers and basic municipal management and investment planning tools.

The operation has been conceived as the initial stage of investment that would likely be followed by a series of follow-on operations which would scale-up and consolidate local-level reform and investment in a programmatic fashion, ideally directly through participating provinces and on a customized provincial basis.

Key Indicators: The Project will measure the following key indicators presented below:

- New consumers connected to water supply networks
- New consumers connected to sanitation and sewerage networks
- Km of urban drainage constructed
- Beneficiaries directly benefitting from improved urban drainage
- Km of rehabilitated and paved urban roads
- Km of rehabilitated and paved productive roads
- Beneficiaries receiving access to improved urban roads
- Mechanism for achieving cost recovery for investments and Operations and Management (O&M) costs for water and sanitation, drainage and roads investments in place
- Improvements in basic commercial and operational indicators for municipalities and provincial service providers including: (i) reduction in losses in the case of water supply; (ii) improvement in billing and collection rates; (iii) arrangements for operations and maintenance in place and effective; and (iv) arrangements and targets for cost recovery in place for each subproject

The Project will contribute to four higher level objectives:

Poverty Reduction and Improving Access to Basic Services. The Project will help the Government of Argentina achieve objectives of poverty reduction and increase access to improved basic services.

Improved Quality of Sector Investments and Planning Capacity. The Project aims to support efforts at the federal and provincial levels to strengthen the quality of investments through improved technical, economic, financial, social and environmental screening and preparation and the systematic monitoring under implementation. Additionally, the Project will help achieve this higher level objective through technical assistance to provinces and municipalities for improved investment planning and targeting, which, combined with the screening and assessment criteria for investments the Project introduces, is expected to result in better practices and more efficient use of funds.

Health. Through investments in urban water supply and sanitation, drainage, and roads, the Project will have a direct impact on health outcomes in Project areas. The health benefits of safe water supply and sanitation services are well documented including reductions in incidences of water-borne diseases (particularly diarrhea and other gastrointestinal illnesses, cholera, typhoid and Hepatitis B among others).

Poverty Reduction. The Project aims to support poverty reduction through the development of technical eligibility criteria that encourage subproject investments to focus disproportionately on reaching currently under-serviced populations in participating municipalities.

<u>5. Project description</u>

Project Components: The project will have three primary components: (i) Municipal Investments and Services; (ii) Municipal Institutional Development; and (iii) Program Management.

Component 1: Basic Investment and Services (US$ 132.7 million, including US$ 99.3 million of Bank financing). The component will finance investments to improve water supply and sanitation, urban drainage, and basic transportation access services in participating provinces and municipalities. Specifically, investments in the following sectors will be included:

(i) <u>Basic Water and Sanitation</u>, including the construction and rehabilitation of production infrastructure, primary and secondary water supply networks, sewer network rehabilitation and expansion, water treatment plants, construction, rehabilitation and expansion of existing wastewater treatment and disposal facilities.

(ii) <u>Urban Drainage and Small Retention Works</u>, including the rehabilitation and expansion of drainage network and small retention works. Subprojects under this component would be relatively small and would complement investments under – where possible – the parallel flood protection APL. Typical investments would include main drainage and secondary networks, manholes and junctures.

(iii) <u>Urban and Productive Roads</u>, including works for the pavement and rehabilitation of urban, municipal connector and productive roads in order to both increase access and improve traffic flows through paved roads for under-serviced urban neighborhoods and rehabilitate priority segments of productive roads that will have an important impact on the reduction of logistics costs.

Component 2: Municipal Institutional Development (US$ 5.0 million, including US$ 5.0 million of Bank financing). The component will finance technical assistance primarily at the municipal level for improved planning, management and operational capacity that aims specifically to improve the quality and coverage of water, sanitation, sewerage, urban drainage and road maintenance services. Eligible beneficiaries include municipalities and provincial basic service providers, regulators and policy makers in the water and sanitation and roads sectors. Subprojects for technical assistance under this component would also be on-lent to municipal and provincial service providers in a manner similar to Component 1 for works.

The component will finance demand-driven technical assistance including, but not limited to:

- Capacity building for the technical, economic, financial, social and environmental preparation and assessment of subprojects
- Multi-year strategic investment planning and budgeting
- Tariff reviews
- Updating and improving cadastre of users
- Improvements in billing, collection and commercial management
- Technical exchanges, twinning and outreach activities
- Information, communications and education campaigns in key service sectors

- Poverty targeting and monitoring mechanisms as part of investment planning
- Preparation of territorial sector development and urban development plans
- Business and operational planning for service providers

Component 3: Program Management (US$ 5.3 million, including US$ 5.3 million of Bank financing) to finance the operating expenses associated with program management, monitoring, evaluation and supervision. The component will finance a strengthening of core UEC staffing to include technical specialists including sanitary engineers, a roads specialist and an economist to effectively support subproject development and assessment. The UEC team will also be strengthened with improved staffing capacity in environmental management, procurement and financial management. Additional key activities to be financed under the component will include:

- Project preparation assistance
- Independent technical audit
- Monitoring of poverty impacts
- Impact evaluation
- Public opinion monitoring
- Dissemination and outreach activities, including efforts to promote good practices at the local level

6. Safeguard policies that apply

The Bank's environmental assessment focused on five aspects: (i) the revision of the Bank's safeguards policies that are applicable to the Project; (ii) the environmental screening of nine proposed subprojects that would be financed by the Bank; (iii) the evaluation of the environmental management capacity of the UEC; (iv) agreement with the Government on the strengthening of the UEC through the contracting of one full-time safeguards specialist; and (v) reviewing and ensuring compliance with the existing environmental legislation at the national and provincial levels.

Safeguard Policies Triggered by the Project	Yes	No
Environmental Assessment (OP/BP/GP 4.01)	[X]	[ ]
Natural Habitats (OP/BP 4.04)	[ ]	[X]
Pest Management (OP 4.09)	[ ]	[X]
Cultural Property (OPN 11.03, being revised as OP 4.11)	[X]	[ ]
Involuntary Resettlement (OP/BP 4.12)	[ ]	[X]
Indigenous Peoples (OD 4.20, being revised as OP 4.10)	[ ]	[X]
Forests (OP/BP 4.36)	[ ]	[X]
Safety of Dams (OP/BP 4.37)	[ ]	[X]
Projects in Disputed Areas (OP/BP/GP 7.60)*	[ ]	[X]
Projects on International Waterways (OP/BP/GP 7.50)	[ ]	[X]

* *By supporting the proposed Project, the Bank does not intend to prejudice the final determination of the parties' claims on the disputed areas*

Project implementation triggers the following policies:

- *Environmental Assessment Policy [OP 4.01]:* The Project has thus been qualified as "Category B", following the Operational Bank Policy OP 4.01. This categorization arises because prevention, mitigation or compensation measures in order to guarantee social and environmental sustainability of the Project can be easily identified and implemented with an adequate environmental management system in place during the various phases of the Project cycle. No involuntary resettlement is expected to occur given that works to be financed are rehabilitation and minor paving of existing roads.

- *Cultural Property [OPN 11.03]:* According to new guidelines, all infrastructure projects should trigger the cultural property policy. Given this, even though there is no indication that cultural property would encountered during implementation, the Environmental Management Framework sets forth "chance find" procedures in the case that such property is encountered.

In the event that any subproject considered for financing triggers safeguard policies of the Bank not identified during preparation, the subproject will be subject to the bank's prior review and supervision efforts will include safeguards specialists to review the handling of any issues which arise. The Government is aware of its obligations under other safeguard policies which could possibly be triggered by these kinds of investments and has agreed to not engage in civil works that may cause impacts triggering safeguards without the prior clearance of the Bank.

7. Tentative financing

Source:		($m.)
BORROWER		33.4
INTERNATIONAL BANK FOR RECONSTRUCTION AND DEVELOPMENT		110.0
	Total	143.4

8.Contact points

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